

The second guideline violated is the more important of the two: Price fails to close below the confirmation point. As I mentioned, this type of failure (failure to achieve confirmation) happens 60% of the time.

Expect top reversals (such as the double top) to perform poorly in bull markets, whereas bullish bottom reversals should excel. That appears to be the case with many of the chart patterns covered in this book.

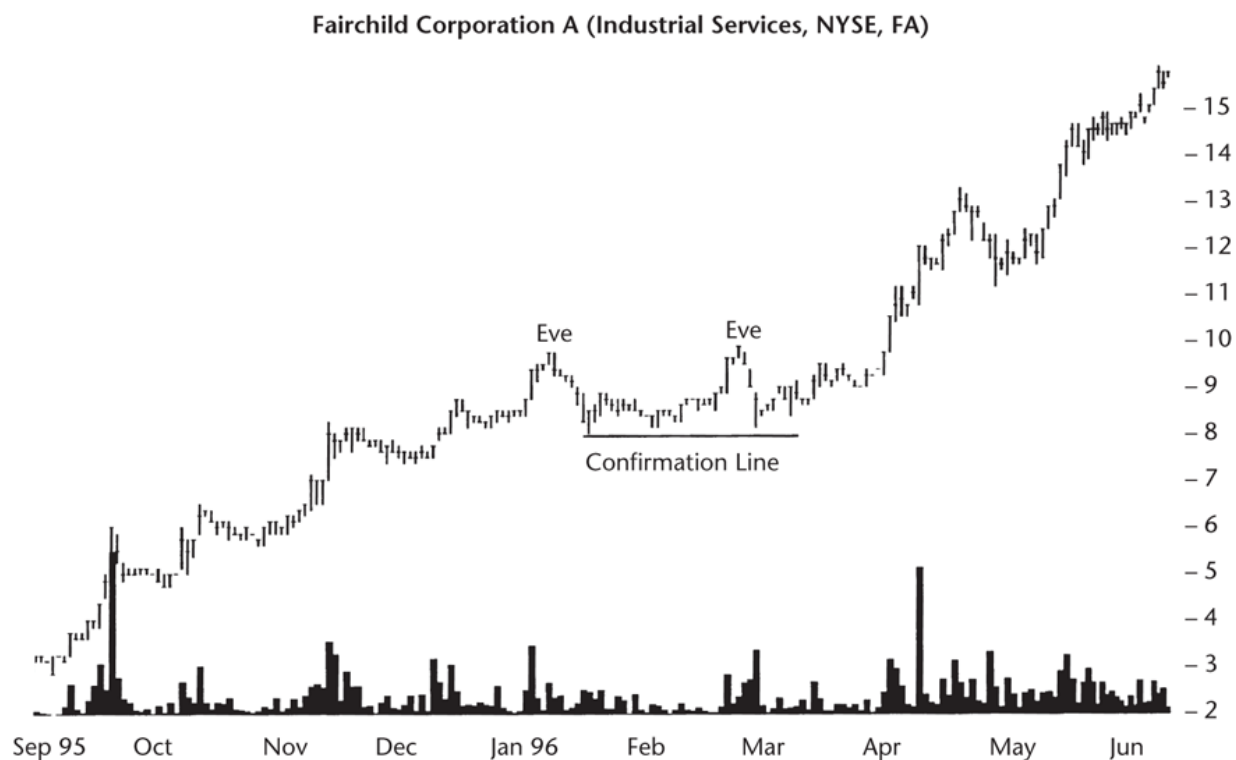


Figure 33.4 A common double top failure. Price declines after the second peak, then rises before reaching the confirmation point.

Another type of failure not shown in the figure is what I call a 5% failure. Price fails to drop more than 5% after the breakout. One in five (20%) double tops will suffer a 5% failure. Compared to other chart pattern types, that's relatively low, but 20% isn't exactly zero.

Speaking of numbers, let's talk about them.

Statistics

Table 33.2 shows general statistics.